# IOIT YOUTH PARLIAMENT ‘2026

# STUDY GUIDE

## MAHARASHTRA LEGISLATIVE ASSEMBLY

### Agenda

Analysis of the Economic Impact of Direct Benefit Transfer (DBT) Schemes in the State: Public Welfare or a Burden on the Treasury for Elections?

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# Letter from the Executive Board:

Greetings Delegates!

It gives me immense pleasure to welcome you to this simulation of the Maharashtra Legislative Assembly(MLA) . I look forward to an enriching and rewarding experience. This study guide is by no means the end of research, I would very much appreciate it if you all are able to find new realms in the agenda and bring it forth in the committee.

Kindly note that there shall be substantive intervention by the Executive Board during the proceedings of the committee, i.e. the Executive Board will ask you questions on almost anything and everything that you say in the committee to test your knowledge, political intellect and diplomatic skills. You are all advised to be prepared for the same.

The Indian Model Committees Rules of Procedure (subject to minor changes on the discretion of the Executive Board) will be followed in the committee, but you need not worry about the same as the concerned rules are quite easy and will be duly explained both in training sessions as well as in the committee.

Looking forward to an exciting and interesting committee. Hopefully, as a member of the Executive Board, I will also get a chance to gain from being a part of this committee. Please do not hesitate to contact me regarding any doubts that you may have.

Best Wishes & Regards

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# Background to the Agenda: The Digital Welfare Revolution

The Direct Benefit Transfer (DBT) scheme was conceptualized as a transformative reform Aimed at ensuring transparency and efficiency in the implementation of welfare measures. By February 2026, the system had evolved into a "disintermediated, targeted delivery matrix" that Bypassed the traditional layers of bureaucracy and intermediaries that previously plagued the Indian subsidy regime. The fundamental mechanism relies on the "JAM" trinity Jan Dhan bank Accounts, Aadhaar biometric identification, and Mobile connectivity to transfer entitlements Directly from the treasury to the verified account of the recipient. As of the current fiscal year (2025-26), the DBT platform supports over 966 schemes across 56Ministries, reflecting a massive scale-up from its inception. The system has successfully matured into "DBT 2.0," which integrates AI-driven verification and real-time account health Checks to plug the technical gaps that emerged during earlier iterations The central paradox of this system in 2026 lies in its dual nature. Proponents argue that DBT is the most potent tool for "Maximum Governance, Minimum Government," as it eliminates the "middleman" and ensures that the state's resources reach the most vulnerable. Conversely, critics including the Supreme Court in its recent observations warn that the ease of direct transfer has emboldened a "freebie culture," where cash is used as a tool for electoral mobilization rather than a well-planned development strategy.

| Metric | Value / Status | Narrative Implication |
|---|---|---|
| Cumulative Transfers | ₹43.35 Lakh Crore | Massive scale of digital disintermediation. |
| Cumulative Savings. | ₹3.48 Lakh Crore | 1.5% of nominal GDP recovered from leakages |
| Beneficiary Growth . | 16-Fold Expansion | Reached 1.76 billion non-unique beneficiaries |
| Subsidy-to-Expenditure | Declined (16% to 9%) | Halved subsidy burden through better targeting |

## Historical and Political Context: From In-Kind to In-Cash

The evolution of India's welfare regime can be categorized into three distinct eras. The first, the "Universal In-Kind Era" (1947–2012), was characterized by the mass distribution of commodities through the Public Distribution System (PDS) and other physical infrastructure. While this period saw the expansion of the safety net, it was notorious for systemic leakages and high administrative costs. The second era, the "DBT Foundation Era" (2013–2021), saw the rollout of the JAM trinity and the successful conversion of major subsidies like LPG (Pahal) and MGNREGA wages into direct transfers.

The current era, defined as the "Era of Targeted Universalism and UCTs" (2022–2026), is marked by the proliferation of Unconditional Cash Transfers (UCTs), particularly targeting women, farmers, and youth. This period has seen welfare becoming the primary "currency of political power," with state-level elections frequently centered on competing promises of monthly cash doles. This historical transition has altered the "political belonging" of citizens. Voters are increasingly evaluating political actors not based on caste or religious identity alone, but on the "visibility and recency" of welfare delivery into their bank accounts. This shift has created an "individual beneficiary" axis that defines the modern Indian electorate, making DBT an indispensable yet controversial tool for democratic governance

## Macroeconomic Landscape: The RBI and Finance Commission Perspective

By February 2026, the fiscal health of Indian states has become a subject of intense scrutiny. The Reserve Bank of India's study on "State Finances: A Study of Budgets of 2025-26" highlights that while the post-pandemic recovery continues, the widening Gross Fiscal Deficit (GFD) to 3.3% remains a concern. This widening is primarily attributed to a decline in central grants and the "expanded welfare commitments" undertaken by states ahead of assembly polls.

The 16th Finance Commission (16th FC), which submitted its report for the 2026-31 award period, has introduced a "Compliance-Driven" fiscal model. While retaining the 41% tax share for states, it has capped state deficits at 3% of GSDP and mandated the immediate discontinuation of "off-budget borrowings",a mechanism frequently used to fund cash transfers without showing them on the formal balance sheet.

The introduction of the "Contribution to GDP" weight (10%) is particularly significant, as it signals a shift from "entitlement-based" transfers to "performance-linked" federalism. This has created a divide between industrialized states (Maharashtra, Tamil Nadu, Karnataka), which benefit from this weight, and poorer states (Bihar, Uttar Pradesh), which rely on the "Income Distance" parameter to maintain equity. The commission's rejection of demands to include "cess and surcharges" in the divisible pool remains a point of contention, as these instruments currently constitute roughly 19% of the Centre's gross tax revenue, reducing the effective share of states to about 34%.

## The Judiciary as the Fiscal Arbiter

The most dramatic development in the DBT discourse occurred on February 19, 2026, when the Supreme Court of India issued a "scathing critique" of the "freebie culture" during the hearing of Tamil Nadu Power Distribution Corporation Ltd (TNPDCL) v. Union of India. A three-judge bench, led by CJI Surya Kant, questioned whether state governments were prioritizing "short-term political appeasement" over "long-term infrastructure development".

The core of the judicial intervention centres on the lack of "Targeted Exclusion." The CJI orally remarked that while the state has a "fundamental duty" to provide relief to the marginalized, providing free services like electricity, food, and clothes to the "affluent and those who can afford to pay" amounts to an "appeasement policy" that is "not conducive to eeconomic development".

Key Legal and Ethical Themes from the Supreme Court:

Taxpayer Trust: The court questioned how subsidies would be funded, pointing out that "this money… is taxpayers' money" and that citizens expect their contributions to be used for hospitals, roads, and schools, not just salaries and handouts.

Work Culture and Dignity: The bench expressed concern that universal subsidies and cash doles could "hamper the work culture" of the nation, effectively creating a "class of parasites" who lack the incentive to seek employment.

Fiscal Discipline as a Fundamental Principle: The court invoked its 2025 BSES judgment to reiterate that "if you want to avail some facility, pay for it," emphasizing that tariff determination must remain "cost-reflective".

Political Statesmanship: CJI Kant urged "political stalwarts, leaders, parties, and social engineers" to revisit their policy frameworks, questioning why schemes are announced "suddenly near elections" rather than through planned, sustainable outlays.

This judicial stance marks a significant shift from the 2013 Subramaniam Balaji judgment, which held that election manifestos could not be categorized as "corrupt practices". The court is now moving toward a "Fiscal-Constitutional Test," where the "irrationality" of a freebie may be declared a violation of Article 14 (Equality) if it utilizes public funds for private goods without a clear public purpose.

# Sectorial Analysis: Public Welfare vs. Election Burden

## 1. The Proliferation of Women-Centric Cash Transfers

In the 2025-26 fiscal cycle, 12 states have collectively spent ₹1.68 lakh crore on unconditional cash transfers (UCTs) for women, a sharp jump from just two states three years ago. While these schemes such as Madhya Pradesh's "Ladli Behna" and Karnataka's "Gruha Lakshmi "are hailed as instruments of "social justice and redistributive empowerment," they have significantly altered the fiscal balance of states.

| State | Primary Cash Scheme | Impact on Revenue Balance | Capital Expenditure Trend |
|---|---|---|---|
| Karnataka. | Gruha Lakshmi | Surplus → 0.6% | Deficit Decline in urban infra allocation |
| Madhya Pradesh | Ladli Behna | Surplus 1.1% → 0.4% | Capex share fell 18% to 14%. |
| West Bengal. | Lakshmir Bhandar | Persistent Deficit | Debt at 39% of GSDP |
| Kerala | Various UCTs | Structural Deficit | Interest payment > 15% of revenue |

The "opportunity cost" of these transfers is a central point of debate. Capital expenditure (Capex) typically offers a higher fiscal multiplier (2.0 to 2.5) because it generates jobs and crowds in private investment. In contrast, UCTs operate through consumption channels and may have lower long-term multipliers if not accompanied by supply-side interventions.

## 2. The Transformation of Rural Liquidity and Poverty

On the positive side, DBT has acted as an "income shield" for the rural poor. The "Lakhpati Didi" initiative, which aims to help 3 crore women earn at least ₹1 lakh annually, has successfully reduced rural female unemployment to 3.4% as of late 2025. Furthermore, the PM-KISAN scheme (transferring

₹6,000/year) is utilized by 75% of farmers for agricultural inputs, stabilizing the rural economyy and reducing reliance on informal credit during crop failures.

**3. Fertilizer and Food Subsidy Reforms**

The food and fertilizer sectors have contributed the most to DBT savings, totalling over ₹2 lakh crore as of 2026. The implementation of Aadhaar-linked biometric authentication at Point-of-Sale (PoS) devices has "fundamentally re-engineered" the Public Distribution System (PDS), which was once the most leakage-prone sector. The "One Nation One Fertilizer" (ONOF) scheme and the "Bharat" brand mandate have standardized quality, while the "DBT 2.0" roadmap proposes shifting from "Post-Sale Company Subsidies" to "Direct-to-Farmer" bank transfers to enable market-based pricing.

## Historical and Political Evolution of Welfare Governance in Maharashtra

The trajectory of welfare in Maharashtra has evolved from traditional supply-side subsidies to the current demand-side Direct Benefit Transfer model. Historically, the state has been a pioneer in social welfare, beginning with the Employment Guarantee Scheme in the 1970s, which later informed the national MGNREGA. However, the 2020s have seen a significant shift toward unconditional cash transfers. The rollout of the Majhi Ladki Bahin Yojana in July 2024 marked a watershed moment, where the state committed ₹46,000 crore annually to provide ₹1,500 per month to eligible women. This move was politically decisive, bridging the voter divide and securing a mandate for the ruling alliance, but it also reignited the "revdi culture" debate initiated by the central leadership in 2022.

The political context is further complicated by the upcoming municipal corporation elections in 2026. The state government's decision to combine payments of ₹3,000 to beneficiaries in early January 2026, just before Makar Sankranti, is seen by critics as a tactical use of the treasury for electoral advantage. Meanwhile, the vacancy of the Leader of Opposition post in the Assembly as of late 2025 has altered the dynamics of legislative scrutiny, placing a greater burden on the committee system to ensure fiscal accountability.

## Revenue Generation and Fiscal Strategy

To address these deficits, the 2025-26 Budget introduces new revenue measures, including a 1% hike in motor vehicle taxes for non-transport four-wheelers and increased stamp duty on specific transactions. The government also anticipates a 10-11% growth in gross tax revenue, driven by improved compliance through digital filing and data analytics. However, the success of this strategy is contingent on sustained corporate profitability and consumption demand, both of which are susceptible to global shocks, such as the tariff disputes with the United States in early 2026.

## Case Study of the Mukhya Mantri Majhi Ladki Bahin Yojana

The Majhi Ladki Bahin Yojana serves as the primary instrument of the state's DBT strategy and the focal point of the current economic debate. Launched with the intent of providing financial independence to 2.43 crore women, the scheme has faced significant administrative and fiscal headwinds in its second year of implementation.

The Fiscal Burden and Scrutiny of Beneficiaries

Initially projected to cost ₹46,000 crore annually, the government has trimmed the estimated outlay to ₹36,000 crore for 2025-26. This reduction is largely the result of a rigorous e-KYC and verification process that became mandatory by the end of 2025. An audit in early 2026 identified and removed 26.34 lakh ineligible beneficiaries, including thousands of men, government employees, and individuals who violated income or vehicle ownership criteria.

The scheme's implementation has been marred by technical glitches, such as the "Aadhaar NPCI mapping" failures and flawed questionnaires that wrongly categorized approximately 24 lakh women as state employees, leading to a pause in their benefits. The reliance on Anganwadi workers for physical verification further strains an already overburdened grassroots administrative system.

Second-Order Effects on Other Welfare Programs

The massive allocation for the Ladki Bahin scheme has created a "fund crunch" in other departments. Cabinet ministers, including Chhagan Bhujbal, have publicly expressed concern that the implementation of this scheme is affecting other critical initiatives like the Anandacha Shidha (food kits) and the Shiv Bhojan Thali. This zero-sum game in the welfare budget suggests that the prioritization of direct cash transfers may be occurring at the expense of essential nutrition and food security programs.

## Socio-Economic Impact: The Rural-Urban Paradigm

The impact of DBT in Maharashtra is inextricably linked to the state's internal demographic disparities. While urban centers like the Mumbai Metropolitan Region (MMR) are projected to become USD 1.5 trillion economies by 2047, 64.6% of the state's population remains in rural areas facing persistent agrarian stress.

## Narrowing the Consumption Gap through DBT

Direct fiscal transfers have been instrumental in narrowing the rural-urban consumption gap. The urban-rural gap in average Monthly Per Capita Expenditure (MPCE) has declined to 70% in 2024-25, compared to 84% in 2011-12. In rural Maharashtra, cash transfers from schemes like PM-Kisan and Majhi Ladki Bahin act as an "income shield," accounting for up to 24% of the monthly income for female casual laborers. This liquidity is largely used for essential agricultural inputs like seeds and fertilizers, stabilizing household economics in districts with low productivity.

## Migration and the Capacity Limits of Cities

Despite these transfers, migration to cities remains high. The Economic Survey 2025-26 reports that cities may be reaching "capacity limits," as youth continue to seek urban opportunities due to the dying means of livelihood in traditional farming. DBT, while providing short-term relief, has not yet addressed the "severe lack of basic infrastructure in villages". The government's shift toward the "Lakhpati Didi" initiative, aiming to help 3 crore women earn at least ₹1 lakh annually, represents a move toward addressing the structural causes of rural poverty.

## The Evolution of the Aaple Sarkar DBT Portal and Fraud Mitigation

The Aaple Sarkar portal has become the backbone of Maharashtra's welfare delivery, facilitating the transfer of benefits for 327 active schemes. By February 2026, the portal has matured into a targeted delivery matrix designed to provide a real-time fiscal trail and minimize discretionary allocations.

Digital Engineering and its Challenges

The system utilizes Aadhaar-based biometric authentication and OTP verification to fetch applicant details from the UIDAI database. However, the 2025 audit highlighted that technical glitches, such as the failure to receive OTPs or data mismatches, remain a significant hurdle for rural laborers. The "Anti-Fraud Audit" conducted in late 2025 led to the temporary pause of funds for beneficiaries who missed the e-KYC deadline, a move that saved the exchequer billions but also raised concerns about "digital exclusion".

The future outlook for this portal involves greater "Data Democratization," where policy debates can be grounded in verifiable official statistics rather than administrative discretion. However, the Internet Freedom Foundation (IFF) warned in late 2025 that the current rules lack an independent judicial oversight mechanism to audit state data collection, raising significant privacy concerns under the K.S. Puttaswamy judgment.

## Synthesis: Public Welfare or Election Burden?

The analysis of the economic impact of DBT in Maharashtra as of February 23, 2026, reveals a complex relationship between fiscal discipline and social obligation. The state's trajectory is defined by a tension between the immediate consumption-led empowerment of its citizens and the long-term structural health of its treasury.

The evidence suggests that DBT has been transformative in providing a safety net for the bottom 20% of the population, acting as a crucial buffer against inflation and narrowing the urban-rural divide. The successful weeding out of 26 lakh ineligible beneficiaries demonstrates that the digital architecture is capable of self-correction and fiscal prudence.

However, the "crowding out" effect on capital expenditure is undeniable. The 11% reduction in infrastructure and health outlays to sustain a record ₹45,891 crore revenue deficit suggests a shift toward a "populist fiscal path" that may hinder the state's ability to create long-term assets. Furthermore, the administrative deficiencies identified by the CAG particularly the 89% manpower shortage indicate that the state is attempting to run a 21$^{st}$-century digital welfare state on a 20$^{th}$-century administrative skeleton.

The upcoming judicial hearings In March 2026 and the elections will likely provide the final verdict on whether Maharashtra's DBT model is a sustainable pillar of cooperative federalism or a burden on the treasury designed for electoral survival.

**Regards,**
Yash Chavhan,
Chairperson - MLA